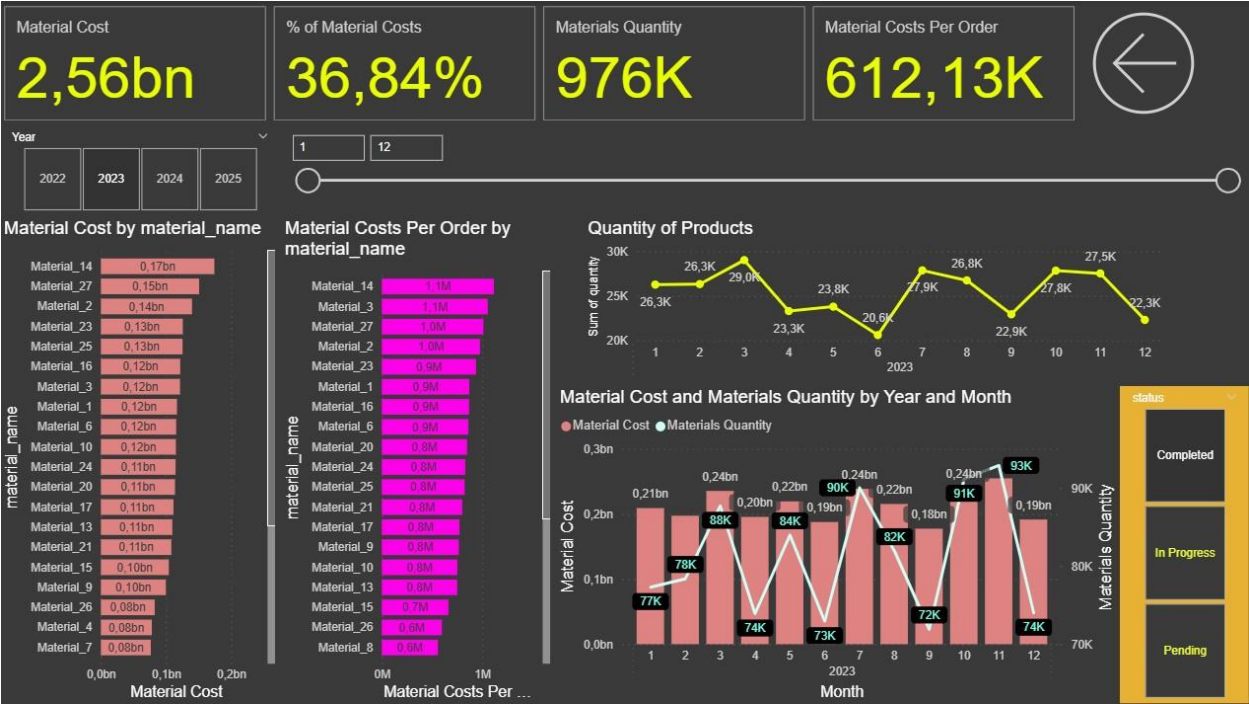
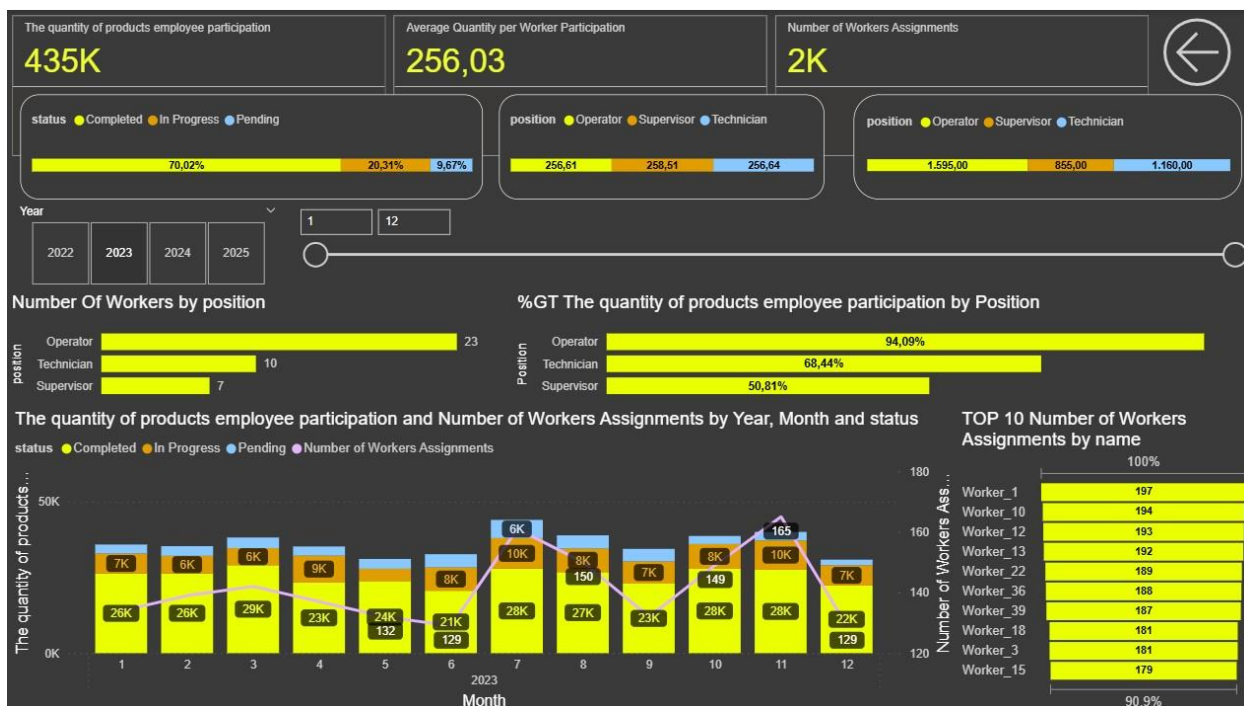


CONCLUSIONS FOR YEAR 2023.





◆ 1. Cost Overview

- **Total Unit Costs:** 7bn
- **Material Cost:** 2.56bn → **36.84%** of total unit costs
- **Other Costs:** 4.39bn

✅ **Conclusion:** Material costs are a significant but not dominant part of total unit costs. Non-material (e.g., labor, overhead) costs account for over 60%.

◆ 2. Cost Breakdown by Product

- Products like **Product_3**, **Product_6**, and **Product_5** contribute the most to **unit and material costs**, each nearing or reaching **1bn in unit cost**.
- Some products (e.g., **Product_1**, **Product_7**) show **zero or low material cost**, which could suggest:
 - Service-based items
 - Outsourced production
 - Data quality issues

✅ **Conclusion:** Focus on top 3 products to manage cost impact. Investigate products with zero material cost for anomalies or improvement areas.

◆ 3. Cost Breakdown by Material

- **Top materials by cost:**
 - **Material_14 (0.17bn)**
 - **Material_27 (0.15bn)**
 - Followed by others in the 0.12–0.14bn range.
- **Material Costs per Order** go as high as **1.1M/order**, showing that some materials are extremely expensive per transaction (e.g., **Material_14**, **Material_3**).

✅ **Conclusion:** Focus on optimizing sourcing for **Material_14** and other high-cost materials. Revisit ordering strategy to reduce per-order expense.

◆ 4. Time-Based Trends

Monthly Breakdown (2023):

- **Unit Costs and Material Costs** peak in **March, July, and October**.
- **Product quantity** peaked in **March (29K)** and **November (27.8K)**.
- Weekday production is highest on **Saturday (50K)**.

 **Conclusion:** Align procurement and labor more efficiently with production peaks. Saturdays might be over-utilized — balance resources better across the week.

◆ 5. Year-over-Year (YoY) Trends

Overall Summary for 2023 YoY Changes:

- **Production Quantity:** +1.67%
- **Unit Costs:** +2.56%
- **Material Costs:** +3.27%
- **Material Quantity:** +3.18%

 **Insight:** All key indicators increased, but **costs are rising faster than production**, signaling a need to optimize resource usage and cost efficiency.

Monthly Analysis and Conclusions:

January

-  Production: +5.05%
-  Unit Costs: +13.25%
-  Material Costs: +6.74%
-  Material Quantity: +3.07%

 **Conclusion:** Significant increase in unit costs—costs are growing faster than output. Investigate cost drivers (materials, labor, overhead).

February

-  Production: +1.79%
-  Unit Costs: +9.77%
-  Material Costs: -9.50%
-  Material Quantity: -7.30%

✓ **Conclusion:** While production slightly increased, material usage and cost dropped. Likely due to improved efficiency or use of cheaper materials.

March

-  Production: +23.80%
-  Unit Costs: +33.85%
-  Material Costs: +14.94%
-  Material Quantity: +11.37%

✓ **Conclusion:** Strong growth across all metrics. Likely a seasonal demand peak. However, costs rising faster than output → potential inefficiencies.

April

-  Production: -12.91%
-  Unit Costs: -19.34%
-  Material Costs: -15.59%
-  Material Quantity: -12.01%

✓ **Conclusion:** A notable drop across the board. Possibly due to downtime, holidays, or decreased demand.

May

-  Production: +21.57%
-  Unit Costs: +29.35%
-  Material Costs: +20.65%
-  Material Quantity: +24.02%

 **Conclusion:** Similar to March. Output recovered but costs again outpaced production. Monitor this closely.

June

-  Production: -21.91%
-  Unit Costs: -31.84%
-  Material Costs: -2.81%
-  Material Quantity: -3.51%

 **Conclusion:** Sharp decline in production and unit cost. Likely underutilization of capacity or lower activity.

July

-  Production: +3.60%
-  Unit Costs: -4.37%
-  Material Costs: +6.16%
-  Material Quantity: +11.80%

 **Conclusion:** Positive productivity trend — higher output with lower unit cost. Efficiency improvement observed.

August

-  Production: +3.98%
-  Unit Costs: -2.79%

-  Material Costs: +3.60%
-  Material Quantity: -0.28%

 **Conclusion:** Unit costs are decreasing despite rising material costs, which points to efficiency gains in processes.

September

-  Production: +8.13%
-  Unit Costs: +5.83%
-  Material Costs: -1.38%
-  Material Quantity: +1.41%

 **Conclusion:** Higher production achieved with lower material cost — strong operational efficiency.

October

-  Production: -6.60%
-  Unit Costs: +7.22%
-  Material Costs: -0.53%
-  Material Quantity: -1.86%

 **Conclusion:** Output dropped while unit costs rose — inefficient month. Possibly due to fixed overheads being spread across fewer units.

November

-  Production: +5.66%
-  Unit Costs: +1.86%
-  Material Costs: +21.58%
-  Material Quantity: +13.01%

✅ **Conclusion:** Material costs spiked disproportionately. Likely due to higher-priced inputs or stockpiling.

December

-  Production: -2.24%
-  Unit Costs: +2.05%
-  Material Costs: -0.43%
-  Material Quantity: +3.07%

✅ **Conclusion:** Output decreased slightly, while costs rose. Material usage increased — may indicate **overstocking** or **inefficient planning**.

Key Takeaways:

- **Best-performing months:** July, August, September – improved efficiency, production growth, and lower unit costs.
 - **Challenging months:** June, October, December – lower output and rising costs suggest inefficiency.
 - **Warning signs:** March, May, and November had high output but even higher cost increases — examine input cost drivers and operational bottlenecks.
-

◆ 6. Worker Participation

- **435K** total product participation by employees
- **Average contribution per worker:** ~256 units
- **Total assignments:** 2K
- **Operators (23)** are the largest group, contributing **94.09% of participation**.

✅ **Conclusion:** Operators are the workforce backbone — optimize their efficiency. Also, some supervisors show relatively high participation — could indicate role overlap or inefficiency.

◆ 7. Status Distribution

Across different areas (costs, workers, etc.), statuses are distributed as:

- **Completed: 70%**
- **In Progress: 20%**
- **Pending: 10%**

✓ **Conclusion:** Most tasks are on track. Consider strategies to reduce “In Progress” backlog and eliminate unnecessary “Pending” items.

◆ 8. Materials Quantity vs Cost

- Some months (e.g., **August**) show high material cost with **low quantity**, hinting at high-cost materials used.

✓ **Conclusion:** Drill down into such months and materials to control spending or consider alternative suppliers.

◆ Summary Recommendations:

1. **Optimize top cost-heavy products** (Product_3, Product_6, Product_5).
2. **Negotiate pricing or seek alternatives for expensive materials** (Material_14, Material_3).
3. **Balance weekday production**, especially Saturdays.
4. **Tighten cost control** as material and unit costs rise faster than quantity.
5. **Empower operators** with tools or training as they handle most of the workload.
6. **Improve workflow** to reduce pending/in-progress assignments.

Would you like tailored recommendations based on a specific KPI (e.g., cost reduction, productivity boost, material sourcing)?